Q1'2023 Kenya Listed Banks Results Summary



Kenyan Banks are Undervalued Compared to EM Peers

- **Risk-Based Model to Boost Interest Income:** In FY'23 and going forward, we expect interest income to rise as banks increase lending to the private sector using a risk-appropriate metric for determining the lending rates. We foresee upside potential for Net interest margins (NIMs) driven by higher lending and government securities yields. The prevailing high-interest environment has created expensive deposit mobilization costs as banks compete with other financial institutions.

- **Sector Valuation is at a Discount to Frontier Peers:** Compared to frontier peers (with the MSCI Emerging markets banks index at a P/B of 0.95x) the local banking counters (with a median trailing P/B of 0.65x) are trading at a discount. However, individual counters such as Stan Chart is trading above the MSCI EM Banks Index while counters such as DTB are almost at a 74% discount. The above P/B trend shows that Kenyan banks are fairly priced compared to their EM peers and provide an attractive investment opportunity.

- **Our Top Picks:** Our top picks are EQTY (+51.24% upside), KCB (+24.52% upside), and IMH (+25.34% upside), largely on account of huge upside potential following recent share price dip despite strong fundamentals. On a comparative basis, we also find these counters reasonably priced compared to the frontier and local industry peers. However, we also find Stan Chart (Expected KES 24.00 FY'23 DPS), and NCBA (Expected KES 5.00 FY'23 DPS) as good dividend plays but have reservations about their current share price, which we do not find attractive entry points.

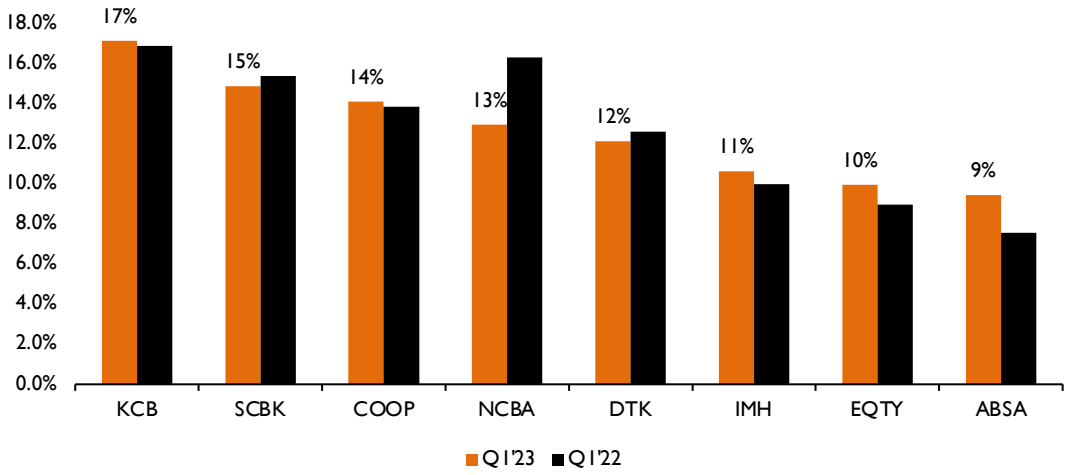
Table 1: Summary Recommendation

Counter	Current Price (KES)	Target Price (KES)	Upside (%)	YTD (%)	Q1'23 EPS (KES)	ROaE (Q1'23)	P/BV (Q1'23)	P/E (Trailing)	Our View
ABSA	11.75	14.72	25.28%	-4.47%	0.82	25.31%	0.94x	4.46x	BUY
COOP	12.20	14.46	18.52%	-0.81%	1.04	20.73%	0.74x	3.52x	BUY
DTK	48.75	60.09	23.26%	-2.50%	8.65	9.93%	0.25x	2.23x	BUY
EQTY	37.10	56.11	51.24%	-16.63%	3.26	25.78%	0.73x	3.78x	BUY
IMH	16.85	21.12	25.34%	-0.88%	1.54	14.95%	0.35x	2.88x	BUY
KCB	31.00	38.60	24.52%	-18.64%	12.14	20.89%	0.48x	2.94x	BUY
NCBA	39.75	45.65	14.84%	1.02%	3.08	18.36%	0.74x	3.69x	HOLD
SCBK	160.25	180.86	12.86%	12.26%	10.55	22.96%	1.00x	4.74x	HOLD

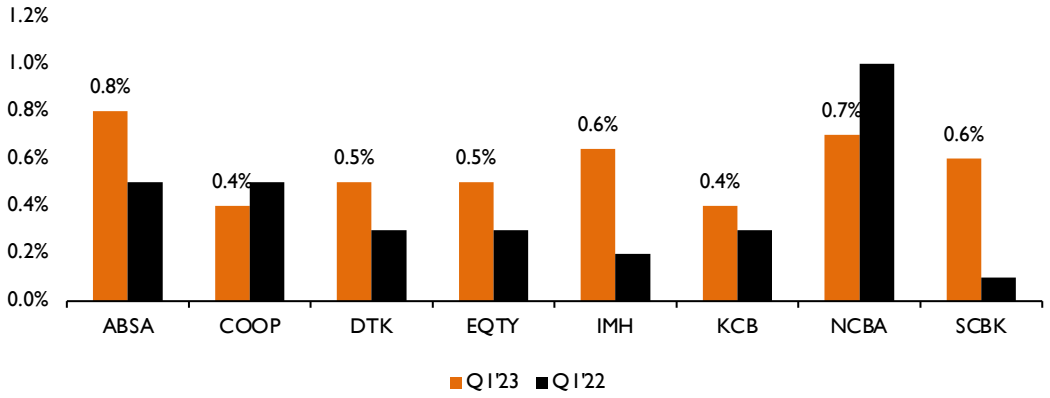
Source: NSE, AIB-AXYS Analyst Estimates

Asset Quality Concerns Persist

Graph 1: NPL Ratio on the rise for most of the banks



Graph 2: Higher average cost of risk in the industry



Source: NSE, AIB-AXYS Analyst Estimates

- **Did the LLP writeback in FY'22 happen too soon?** We observed an increase in LLP's by an average of 2x from Q1'22 signifying increased lending risk outlook. Meanwhile, only two banks, Co-operative and NCBA reduced their provisions by 0.74% y/y and 22.62% y/y respectively, which boosted their net earnings strongly. However, we disagree with with COOP's reduced provisioning given the huge exposure to government payroll related loan book given the reported delay in civil servant salaries.

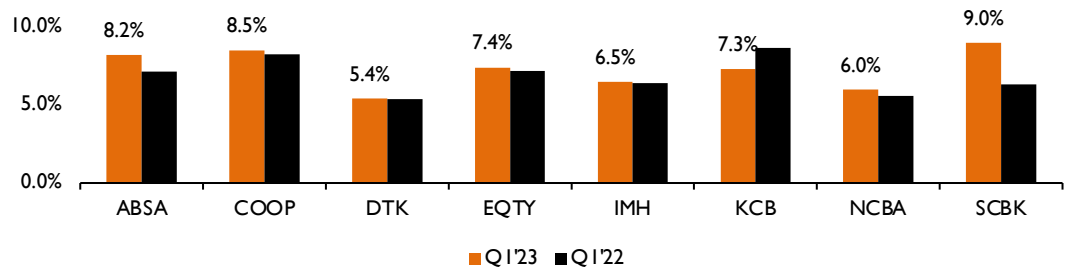
- **Higher NPL's signify tough operating environment:** We observed an increase in Gross NPL's by an average of 21.20% from Q1'22. ABSA recorded the highest increase at 59.72% y/y which we partly attribute to exposure to unsecure retail loans. However, NCBA recorded a decrease of 11.95% y/y, contrary to industry peers attributable to improves asset quality across all their subsidiaries.

OUTLOOK

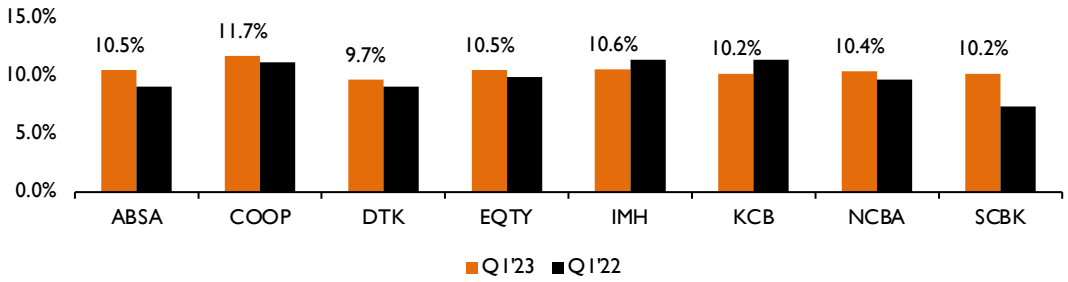
- We reverse our previously positive outlook on the quality of loans in the banking sector driven by continued tough operating environment that has slowed business growth and the changing consumer behaviour. For the remaining quarters of FY'23, we foresee higher provisioning across all banks. However, the implementation of risk-based loan pricing model and the developments in the Kenya credit information sharing framework are expected to improve credit assessment and improve asset quality.

Net Interest Margins (NIMS)

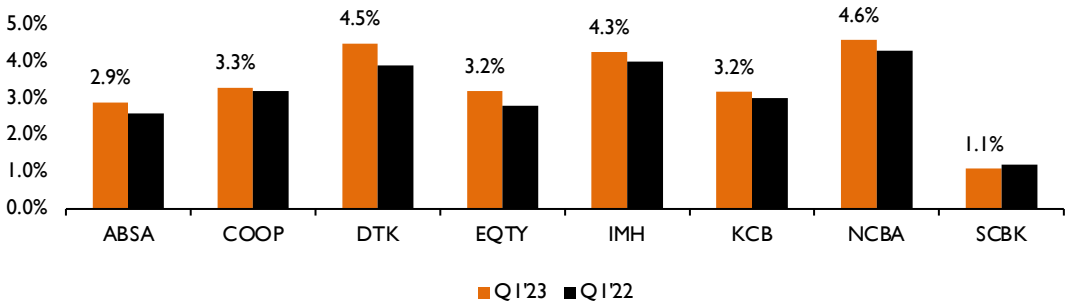
Graph 3 : NIMS growth driven by Risk-Based Models



Graph 4: Increase in YIEA in line with increase in interest income



Graph 5: Higher average cost of funds in the industry



Source: NSE, AIB-AXYS Analyst Estimates (Trailing)

- **Most Banks Saw NIM's increase in Q1'23:** NIM's across the 8 banks increased in Q1'23 with the average marginally increasing to 7.28%. Standard Chartered reported the largest increase in NIM by 270bps y/y. Meanwhile, only KCB reported a decrease in NIMs by 130bps on the back of expensive deposits.

- **Yield on Interest Earning Assets increased in Q1'23**: YIEA across the all banks increased to an average of 10.47% in Q1'23. Consequently, banks increased their volume of interest-earning assets to take advantage of yield increases in the government securities and lending markets. Standard Chartered successfully exploited the increase in yields and increased its NII by 40.05% y/y.

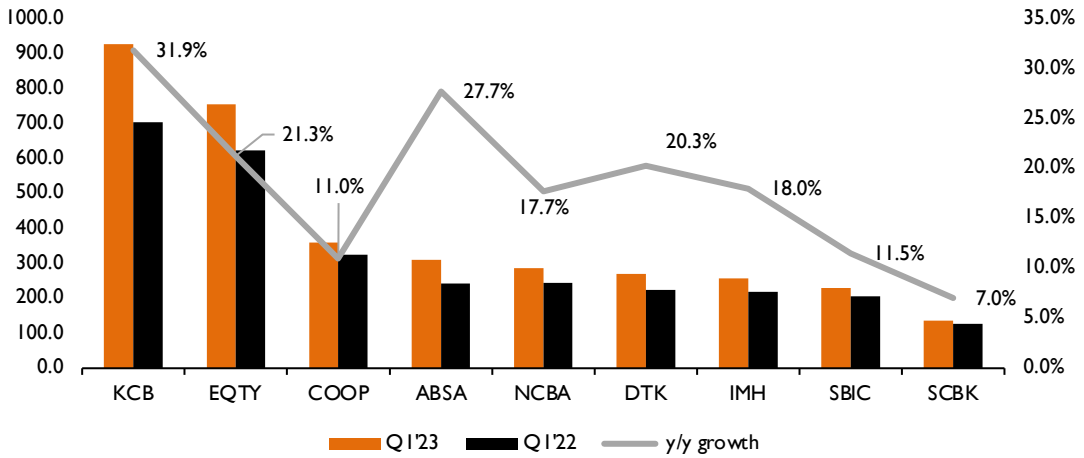
- **Increase in cost of funds:** The banks' cost of funds increased to an average of 3.40% in Q1'23 from 3.10% in Q1'22 indicating higher cost of deposit mobilization and higher yields in the interbank market.

OUTLOOK

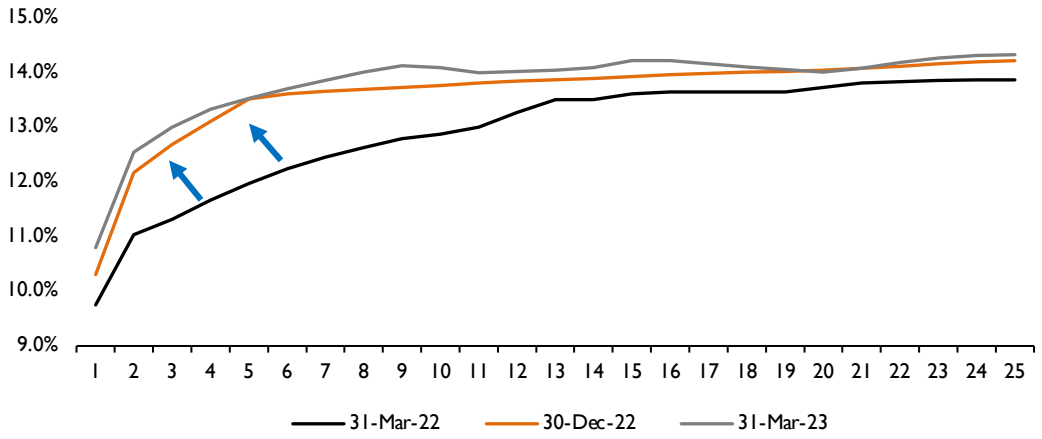
- Central Bank's MPC base rate hiking activities (75bps so far in 2023) are also positive for banking sector players as the CBR is used as a benchmark rate for most of the risk-based models.
- We foresee RBMs leading to a Net Interest Margins (NIMs) increase as banks can charge higher rates to counter the rising cost of deposit mobilization. Additionally, the rising interest rate environment is also likely to see higher yields from government securities.
- However, increasing cost of deposits mobilization will likely squeeze NIMs as competition for deposits among lenders leads to more expensive deposits.

Asset Allocation Favored the Loan Book

Graph 6:KCB Group continues to have the largest loan book



Graph 7 :Steeper yield curve led to an increase in government allocation



Source: NSE, AIB-AXYS Analyst Estimates

- **Growth in the Loan Market**: We observed an increase in the loan books across the all banks in Q1'23 by an average of 18.49% y/y. KCB recorded the largest growth by 31.87% y/y which we attribute to increased retail segment lending, inclusion of TMB loan book figures and inorganic foreign currency growth. We attribute the growth in the loan book in the industry to increased demand for credit from the private sector as well as the implementation of risk-based loan pricing model by some banks.

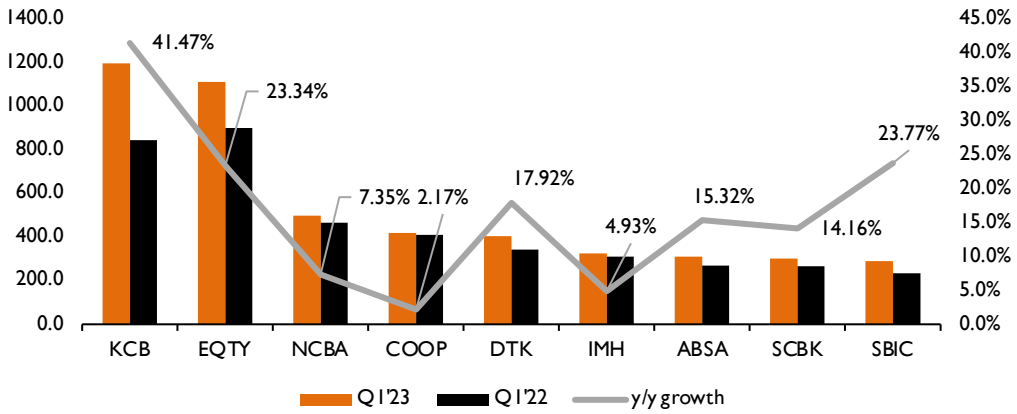
- **Yields on government securities increased in Q1'23**: Yields on government papers edged higher which saw some banks increase their allocation to high yielding government securities by an average of 3.41% in Q1'23. Diamond Trust Kenya recorded the largest increase to government securities by 18.12% y/y while Standard Chartered recorded a decline in allocation to government securities by 8.35% y/y.

OUTLOOK

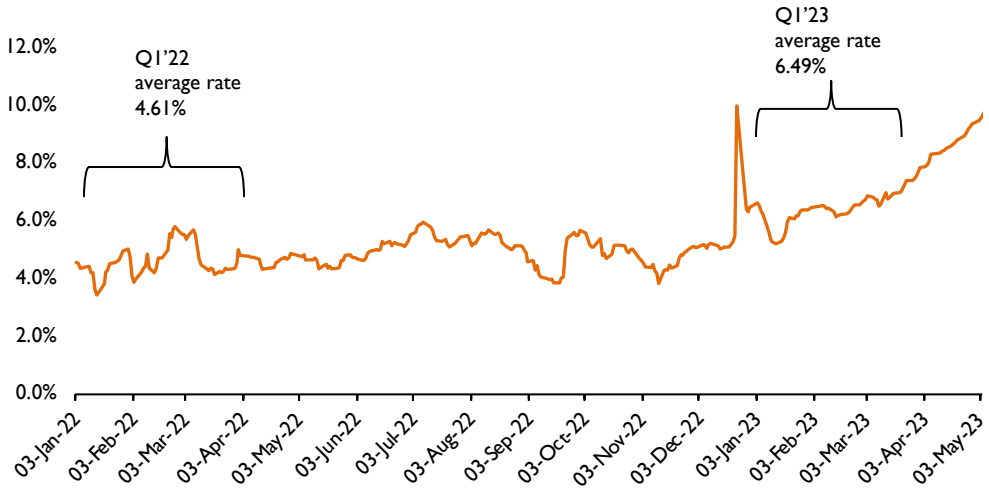
- We expect the implementation of risk-based loan pricing model will improve loan book screening enabling lenders to match borrowers with the appropriate risk consequently increasing the loan book for the remaining quarters of FY'23.
- Given the current high yields on government securities we expect majority of the banks to revise their base rates upwards which could improve their lending prospects. We expect that banks will maintain their allocation to government securities for the remaining quarters of FY'23. However, the possibility of recording mark-to-market losses on their portfolios could see them approach a cautious allocation.

Liability Management to be Driven the Interbank Market

Graph 8: KCB leads industry in customer deposits



Graph 9: Higher interbank rate from tightened liquidity



Source: NSE, AIB-AXYS Analyst Estimates

- **Digital Channels Drive Deposit Mobilization:** We observed an increase in customer deposits across the industry in Q1'23 by an average of 13.62%. The increase was driven by the increased use of digital self-service channels that have trimmed transaction costs and time as well as an increase in interest rates on deposits. KCB recorded the largest increase in customer deposits by 41.47% y/y.

- **Upsurge in interbank rates in Q1'23** : Interbank rates increased by 188bps to 6.49% in Q1'23 from 4.61% in Q1'22 signifying tighter liquidity in the money market on the back of the higher CBR. This increase in interbank rate has consequently increased the cost of borrowing among banks. Tier I banks with large international parent companies have an advantage of easier borrowing at the group level. On the local front, we believe that Tier II and III banks were in the market to borrow from Tier I banks driving up the cost of funds across the sector.

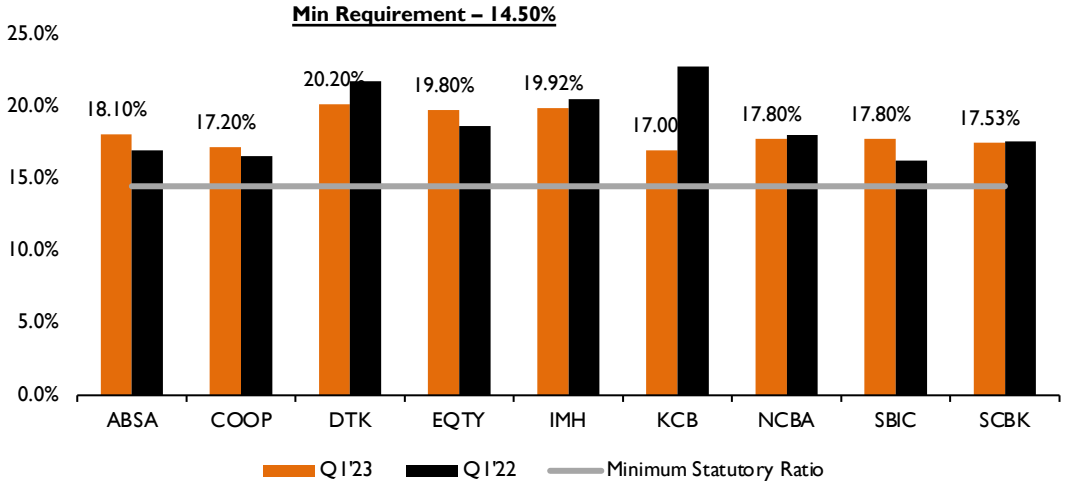
OUTLOOK

- We expect the digital channels to continue driving deposits mobilization with majority of transactions happening outside the branches. We have observed majority of the banks set up specific collection account related mobile money channels that facilitate customer payments.

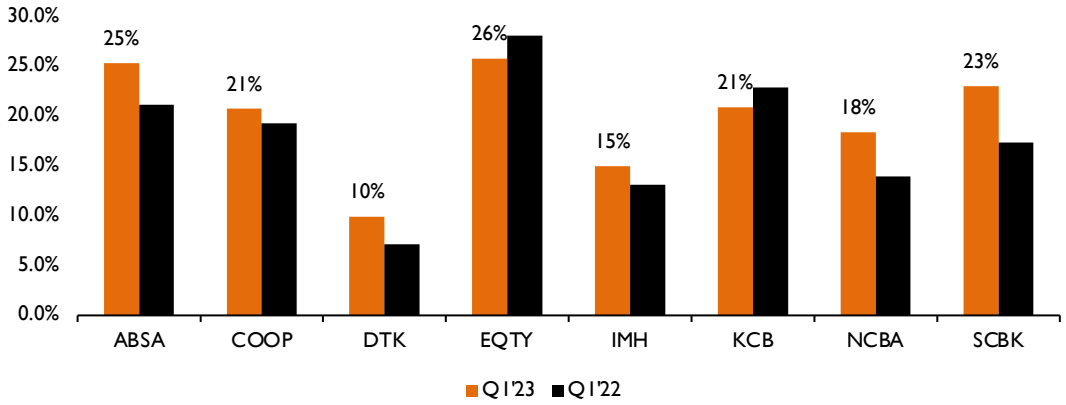
- We expect continued tight liquidity in the remaining quarters of FY'23 to drive up the interbank rates. However, we expect government spending will be a key driver of injecting liquidity into the market.

CAPITAL ADEQUACY

Graph 10: Capital adequacy remains above statutory requirement



Graph 11: ROaE increase signifying stronger earnings growth



Source: NSE, AIB-AXYS Analyst Estimates

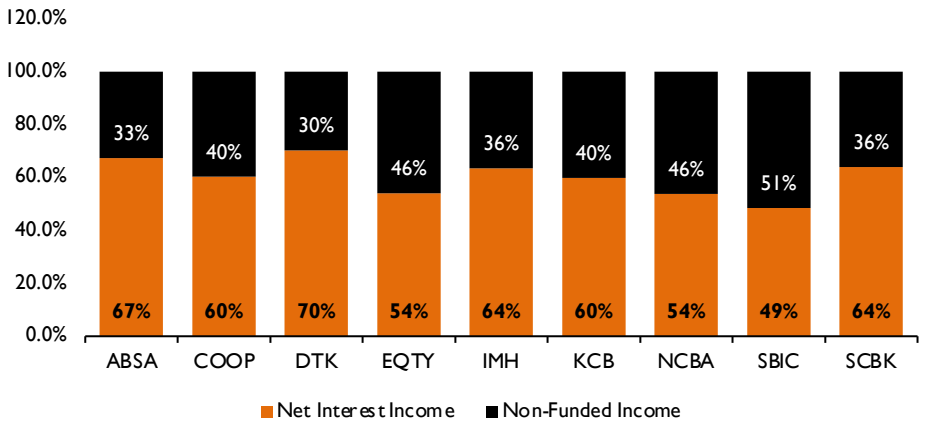
- **Stable capital adequacy ratios**: We observed all banks remain within the regulatory required ratio set by CBK and regional regulators. KCB group injected additional KES 938.80Mn capital into National Bank to lift the struggling lender back to within regulatory compliance. However, we remain concerned with KCB's capital buffers which declined by 580bps y/y to remain 250bps above the required 14.50% level. We expect the increase in NPLs to have a negative impact on capital as banks increase their provisions which is likely to eat into the capital. Our concerns notwithstanding, majority of the lenders will continue to maintain healthy buffers despite a high interest environment which could complicate the raising of supplementary capital.

- **Strong Earnings Growth was reflected in ROE Jump**: Net income growth in Q1'23 was boosted by a faster increase in operating income which was weighed down by higher provisioning and increased total operating expenses. However, we remained concerned about DTB-K's low ROE figure which we believe has driven the poor share price performance as investors do not see a value for their money. We expect improvement across all the listed counters with a positive outlook on DTB achieving a double-digit (+10.00%) ROE by close of FY'23.

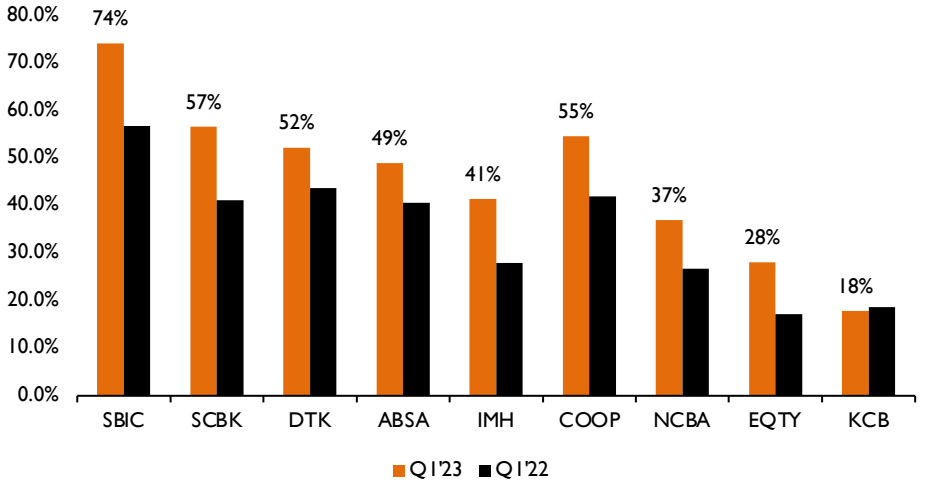
SECTOR OUTLOOK

Non-Funded Income

Graph 12: Stanbic has the most balanced revenue mix



Graph 13: Increase in forex trading income as a % of NFI in Q1'23



Source: NSE, AIB-AXYS Analyst Estimates

Stanbic (49:51) continues to be the leader in revenue mix balance of close to 50:50 while DTB (70:30) remains as the worst in revenue mix. NFI growth has been driven by growth in the forex trading income and digital transactions.

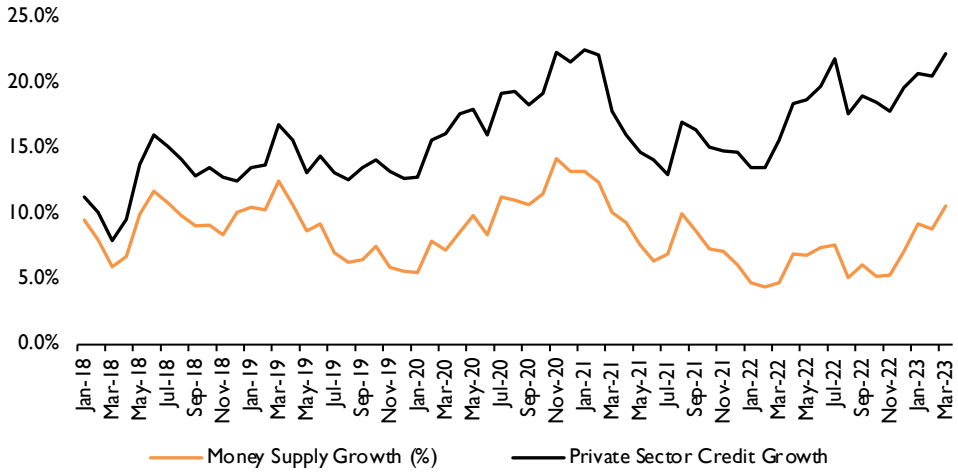
We see downside risks to non-interest income; 1) Reclassification of income earned from digital lending as interest income is likely to lead to slower growth in NFI 2) The increase in excise duty on fees and commissions earned on loans and digital transactions 3) Introduction of the Kenya Fx code which offers interbank currency trading guidelines.

NFI growth will be driven by;

- **Forex Trading Income** – The ongoing dollar shortage on the interbank forex market has created arbitrage opportunities for the lenders, as seen by the growth of forex trading income. Equity recorded the largest growth in forex income by 152.28% y/y while Co-operative recorded the lowest growth by 43.91% y/y. The local currency depreciated 9.20% in 2022 and has so far depreciated by 12.29% as of end of Q1'23 (YTD 12.89%) which we expect will continue and is likely to outpace the 2022 depreciation.
- **Reversal of Bank to Mobile Money Charges** - In 2020, CBK instructed banks to remove charges on transfers between mobile money wallets and bank accounts. This lowered the non-interest income for most banks but also increased the usage of this service, a trend that could continue even after fees are re-introduced. As these fees are re-introduced, banks' non-funded income is likely to increase.
- **Income from Fees and Commissions from loans** – The approval of risk-based models for the majority of banks is likely to lead to higher loan book growth. As such, fees associated with lending are also likely to grow in tandem with loan book growth.

Risk-Based Lending to Drive Credit Growth

Graph 14: Higher credit growth in the private sector in Q1'23



Going forward, we believe that individual bank's response to macro challenges will drive their long-term value. In Q1'23, the yield curve edged higher by an average of 113bps translating to an increase in the mark-to-market losses for banks' holdings on government securities.

Credit growth in the private sector closed Q1'23 at 11.60% which was 90bps lower than the 12.50 % recorded in December 2022. We expect banks to allocate more to private sector driven by the implementation of risk-based loan pricing models. The negative effects of a steep yield curve are likely to see banks allocate more to loan book growth.

For FY'23, we expect the interest environment to remain elevated driven by;

- **Investors' increased preference for higher risk-adjusted returns** – From the performance of recent FXD issues and T-Bills investors bidding trends have shown a risk vs duration mismatch. Long-term paper yields crossed the elusive 14.00% level in 2022 and we expect investors (including banks) to test the government's resolve in borrowing at +16.00%.
- **Inflation Remaining above CBK Upper Target** - Given the risks associated with the current high levels of local and global inflation, we anticipate that investors will make aggressive bids on this paper trying to compensate for a higher real rate of return.
- **Debt Sustainability Questions** - The issuance of a switch bond could signify a negative outlook on debt sustainability down the road and could see investors demand for higher yields to compensate for the increased credit risk. Potential government default or domestic debt restructuring would be catastrophic to banks' balance sheets as seen in Ghana.

Source: NSE, AIB-AXYS Analyst Estimates

M & A to Remain Active

We expect combinations within the sector as foreigners scout for local targets and local banks grow their regional presence driven by;

- **Capital injection requirements by smaller banks** – We expect M & A activity around the smaller banks to be driven by desire to shore up more capital. In an increasingly highly regulated environment players in the banking sector, especially the smaller players, are looking to boost their capital position.
- **Fintechs' desire to remain regulated** - We expect to continue seeing fintechs acquiring microfinance institutions. Given the tough operating environment, majority of microfinance institutions have been left in need of capital injection. Additionally, we have observed fintech players try to stay on the right side of regulation by acquiring an already CBK licensed institution. However, we do not expect fintech's to make any moves to acquire Tier I or tier II banks but Tier IIIs could be strong targets. We also expect large banks to make acquisitions in the fintech spaces driven by the bank's business model.
- **Foreign banks looking for a piece of the local market** – The entry of CIB (Egypt) and Premier Bank (Somalia) show that there is still potential in the local banking sector especially in the ambitious Tier II banks. The collapse of the Centum-Access bank deal for the sale of Sidian is likely to see Access bank return to the market for another Tier II or Tier III acquisition. Access bank has been on an SSA expansion plan having acquired Atlas Mara's Zambian subsidiary and several other acquisitions in Southern Africa in the last three years.
- **Larger local banks looking for further regional expansion** - We believe the DRC market is still ripe for further acquisitions which could come in FY'23-25, either by current players (KCB and EQTY) or others such as NCBA, COOP & IMH. We believe the change in regulatory tone in Ethiopia has caught the attention of Kenyan banks.

Table 2: Recent acquisitions that have come at a discount

Acquirer	Bank Acquired	Book value at acquisition (KES Bn)	Transaction Value (KES Bn)	P/Bv Multiple	Acquisition Date**
Premier Bank (Somalia)	First Community Bank	3.18	2.80	0.72x	Mar-23
CIB (Egypt)	Mayfair Bank Limited	4.34	4.98	1.15x	Jan-23
KCB Group Plc	TMB (DRC)	12.40	15.70	1.27x	Dec-22
Access Bank (Nigeria)*	Sidian Bank	4.90	4.30	0.88x	Jun-22
KCB Group	BPR (Rwanda)	5.30	5.60	1.06x	Aug-21
I & M Holdings PLC	Orient Bank (Uganda)	3.30	3.60	1.09x	Apr-21
Co-operative Bank	Jamii Bora Bank	3.40	1.00	0.29x	Aug-20
CIB (Egypt)	Mayfair Bank Limited	4.12	4.40	1.07x	May-20
Access Bank (Nigeria)	Transnational Bank PLC	1.90	1.40	0.74x	Feb-20
* - *Proposed Acquisition which collapsed*			Average Multiple	**0.92x**	
** - *Date the acquisition was completed*			Listed Banks' Average P/B Multiple (Trailing)	**0.65x**	

Source: NSE, AIB-AXYS Analyst Estimates

Regulatory Environment

We expect the regulatory environment to remain tight in all operating markets mostly tied to capital requirements and maintaining the banks' stability. Recent events in the banking sector in developed markets, Silicon Valley Bank and Credit Suise among others, have led to a heightened risk awareness among regulators globally. As such we expect the Kenyan regulators to have a hawk eye on the listed Tier 1 banks who are perceived to carry systemic risk in the unlikely event of a collapse.

- **Kenya:** In Q1'23, the CBK issued the foreign currency code to guide currency trading in the interbank market. We expect the new Central bank governor to sustain a tough regulatory lense on the banking sector.

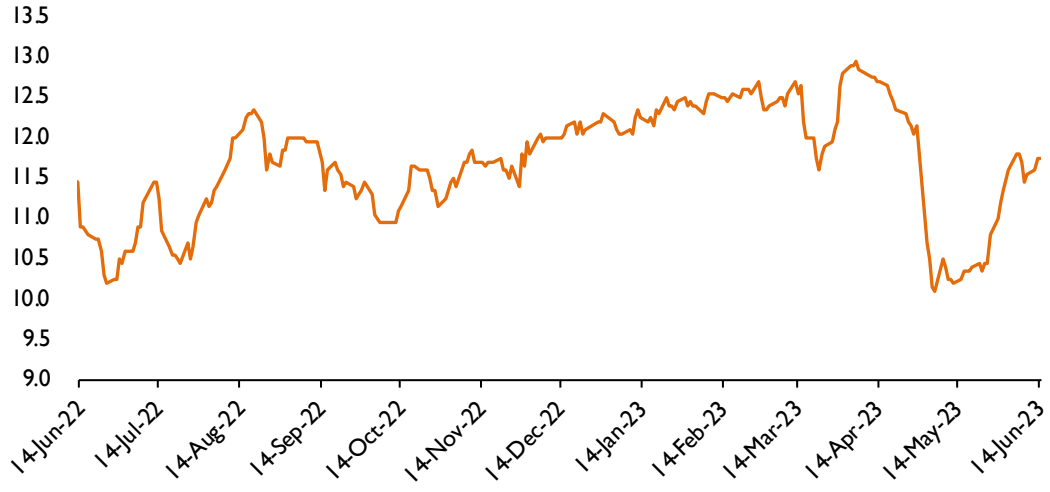
- **Uganda:** The regulator looked at tightening the on the banking sector. In December 2022, Uganda Financial Institutions (Revision of Minimum Capital Requirements) instrument of 2022 was effected requiring banks to hold a minimum paid-up capital of USD 32.10Mn by December 2022 and USD 40.10Mn by June 2024. As such, we expect the Kenyan subsidiaries in Uganda to receive additional capital injection from the group level with IMH having already injected USD 219,000 in FY'22. Therefore, the need for additional capital could open up more consolidation opportunities for Kenyan banks looking to expand into the Ugandan market through acquisition of struggling lenders.

- **Tanzania:** In the last 12 months, the Amendment Act, the Capital Adequacy Regulations of 2023 and the Licensing Regulations of 2023 were passed. The three regulations made numerous changes to cater for among others, the banking sector regulatory and compliance business environment in Tanzania.

Q1'23 SUMMARY

ABSA Bank: Digital Channels to Drive Growth

Graph 15: ABSA 1-year share price movement



Source: NSE, AIB-AXYS Analyst Estimates

YTD Performance – (4.47%)
LTM Performance – 5.99%
Dividend Yield – 9.79%
EPS – KES 0.82

Q1'23 Performance Analysis

- PAT increased by 50.75% y/y to KES 4.45Bn driven by an increase in operating income (+40.01%) but weighed down by an increase in operating expenses (+32.81%) y/y.
- Improved Net Interest Income (+35.95%) y/y to KES 9.36Bn driven by increased interest income from loans and government securities resulting from higher bond yields but weighed down by an increase in interest expense.
- Growing Non-Interest Income (+49.26%) y/y to KES 4.50 Bn mainly driven by increase in forex trading income (+79.87%) y/y resulting from dollar shortage in the market.
- Sharp increase in Impairment Provisioning (+103.30%) y/y to KES 2.40Bn driven by higher non-performing loans resulting from a difficult economic environment.
- Asset quality concerns persist following the surge in Gross NPLs by 59.72% y/y to KES 31.14Bn, significantly higher compared to industry peers, with the NPL ratio increasing to 9.44%.

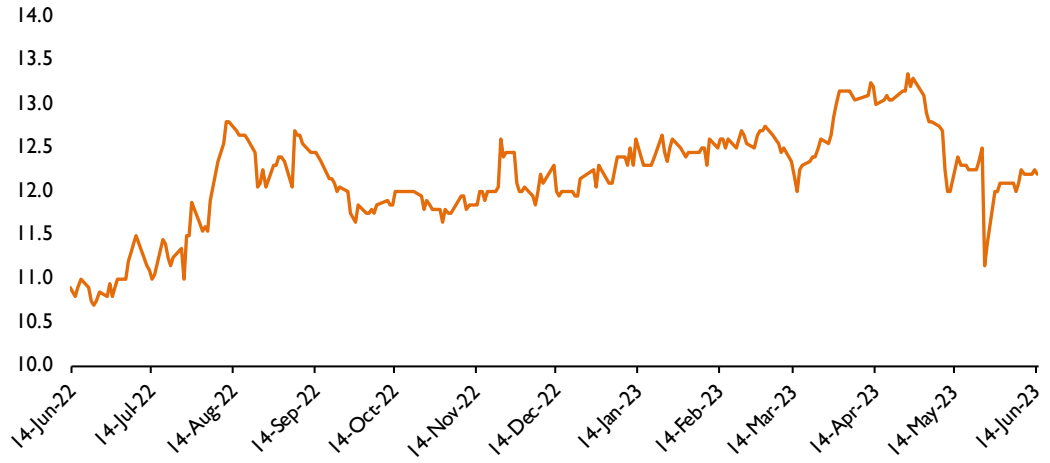
Outlook

- We expect growth in digital channels such as Timiza, core banking and non-banking subsidiaries to continue driving business operations. Loan book growth is expected to be driven following the implementation of risk-based loan pricing model. We expect forex trading income to continue driving non-interest income growth. However, we remain concerned about the continuous increase in NPL's.

- We expect a positive transition environment following the appointment of the new CEO who has regional and local experience. We will provide an update on any new policy and strategy pronouncements from the new management if and when it is available.

Co-operative Bank: Strong Digital Footprint to Drive Growth

Graph 16: COOP 1-year Share Price Movement



Source: NSE, AIB-AXYS Analyst Estimates

YTD Performance – (0.81%)
LTM Performance – (6.31%)
Dividend Yield – 12.30%
EPS – KES 1.04

Q1'23 Performance Analysis

- PAT increased by 4.72% y/y to KES 6.11Bn with Kingdom Bank reporting increased PAT by 28.59% y/y.
- Growth in Net Interest Income (+3.86%) y/y to KES 10.77Bn driven by increase in interest income (+11.21%) y/y but weighed down by higher interest expense (+32.22%).
- Increased Non-Interest Income (+10.77%) y/y to KES 7.10Bn driven by the positive effect of the dollar shortage on forex trading income which grew 43.91% y/y.
- Loan loss provision decreased 0.74% y/y to KES1.53 indicating reduced lending risk, which was contrary to industry peers.
- Gross NPLs grew 12.58% y/y to KES 55.68Bn with the NPL ratio increasing 14.11%.
- The loan book grew 10.98% y/y to KES 360.11Bn at a faster rate compared to customer deposits which grew 2.17% y/y to KES 419.76Bn.

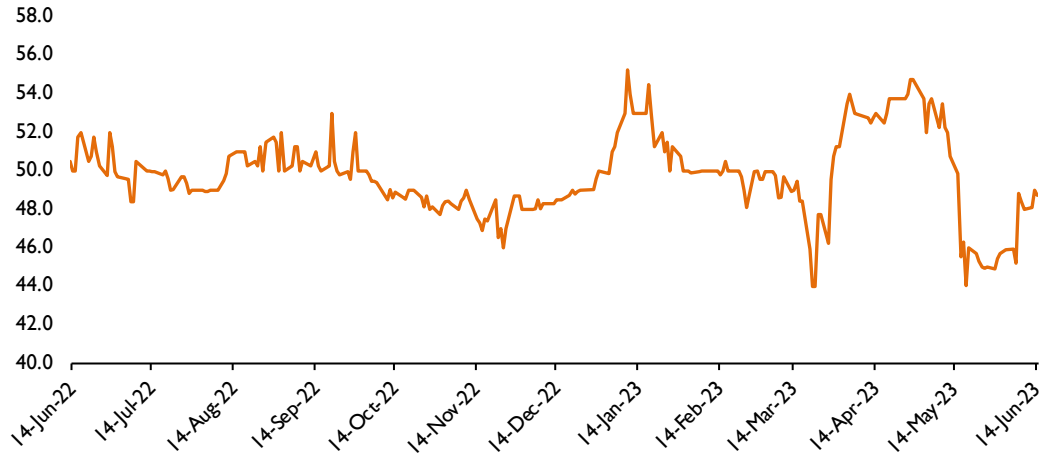
Outlook

- We expect that the lenders expansion of their strong digital footprint will continue driving business operations and revenue growth. In Q1'23, we were slightly concerned with the average monthly mobile loan disbursement decline from an average of KES 7.00Bn per month to KES 6.40Bn /month. However, we expect a recovery on the back of the new system upgrade to match the growth seen in FY'22.

- We expect that implementation of risk-based pricing model to increase interest income as well as loan book growth. We anticipate that continued focus to MSME sector through offering catered services will continue contributing to loan book growth and interest income growth.

DTB-K: Network Expansion to Drive Growth

Graph 17:DTK 1-year Share Price Movement



Source: NSE, AIB-AXYS Analyst Estimates

YTD Performance – (2.50%)
LTM Performance – (16.68%)
Dividend Yield – 10.26%
EPS – KES 8.65

Q1'23 Performance Analysis

- Net Interest Income increased 20.66% y/y to KES 6.68Bn driven by increase in interest income (+32.07%) from higher interest on loans and governments securities following increase in bond yields. Interest Expense increased (+49.17%) weighing down the increase in interest income.
- Growth in Non-Interest Income by 59.08% y/y to KES 2.81Bn mainly driven by an increase in forex trading income (+90.06%) y/y resulting from the dollar shortage in the market.
- Operating expenses increased by 50.38% y/y to KES 5.86Bn driven by expansion of branch networks.
- PAT increased by 10.78% y/y to KES 2.65Bn driven by an increase in operating income 29.95% y/y.
- Impairment provisioning increased significantly by 134.71% y/y driven by higher non-performing loans resulting from a difficult economic environment.
- Gross NPLs increase 17.11% y/y to KES 35.11Bn with the NPL ratio decreasing to 12.13%.

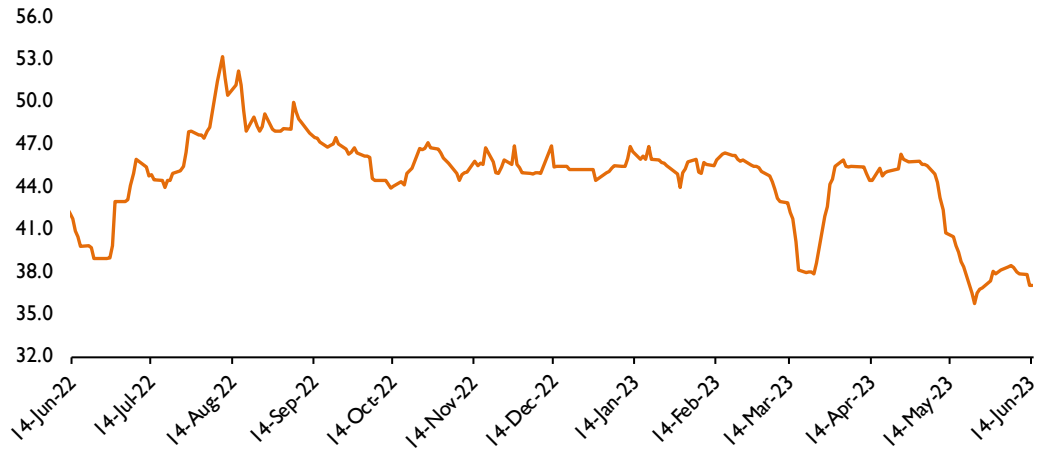
Outlook

- We expect improvement in digital transactions to drive operating income mostly favoring non-funded income. DTB has been lagging its peers in terms of digital channels implementation and usage with no reported digital lending platform.

- We foresee the implementation of risk-based loan pricing model will drive loan book growth and interest income. We expect that network expansion through opening of new physical branches to operating expenses in the short-term but should translate to higher revenues as these branches are more of sales centers with a smaller plinth area to traditional branches.

Equity Group: Regional Expansion a Key Driver

Graph 18: EQTY 1-year Share Price Movement



Source: NSE, AIB-AXYS Analyst Estimates

YTD Performance – (16.63%)
LTM Performance – (10.86%)
Dividend Yield – 10.78%
EPS – KES 3.26

Q1'23 Performance Analysis

- Increase in Net Interest Income by 12.06% y/y to KES21.68Bn driven by an increase in interest income from loans and government securities (+21.62%) y/y but weighed down by a larger increase in interest expense (+46.88%) y/y.
- Growth in Non-Interest Income by 54.30% y/y to KES 18.38Bn mainly driven by the positive effect of the dollar shortage on forex trading income that increased by 152.28% y/y.
- Operating expenses increased by 45.09% y/y to KES 23.19Bn driven by expansion of regional operations.
- PAT increased by 7.90% y/y to KES 12.80Bn driven by an increase in operating income by 28.16%.
- Impairment provisioning increased significantly by 92.52% y/y indicating a higher lending risk and the need to create more buffers.
- Gross NPL's increased 35.21% y/y to KES 80.29Bn with the NPL ratio increasing to 9.96%.

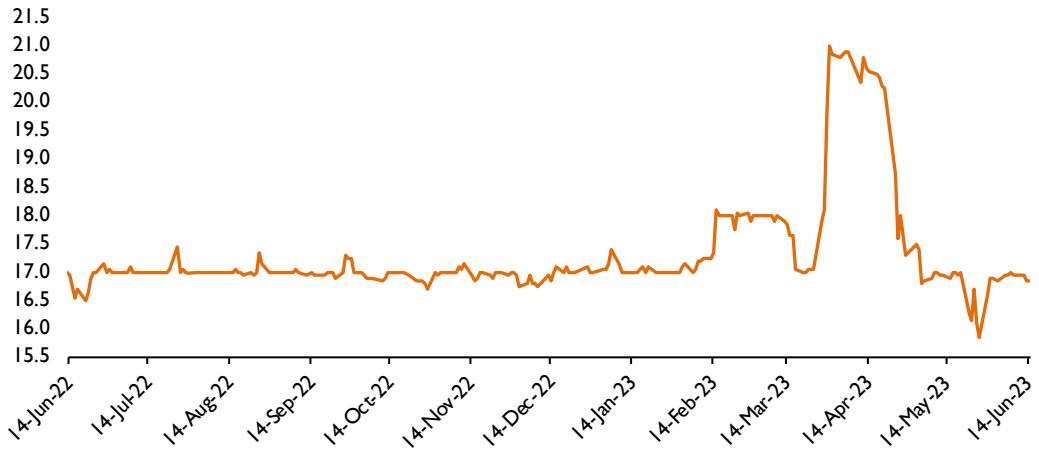
Outlook

- We expect continued regional expansion especially in the DRC to drive revenue growth of the lender. We expect that the risk-based loan pricing model will positively impact the loan book and grow interest income. We foresee the lenders business diversification such as offering general insurance and improved use of digital channels will drive business growth.

- We view the expansion in insurance offering as a positive for the groups long term prospects. The operating markets have a low insurance penetration coupled with an existing customer base provides a ready market. However, we expect the general business to face similar challenges to the existing underwriters including price undercutting, increased regulatory control and high claims ratio.

I & M Group: Larger Digital Footprint to Drive Growth

Graph 19: IMH 1-year Share Price Movement



Source: NSE, AIB-AXYS Analyst Estimates

YTD Performance – (0.88%)
LTM Performance – (18.85%)
Dividend Yield – 13.23%
EPS – KES 1.54

Q1'23 Performance Analysis

- PAT declined 1.96% y/y to KES 2.66Bn driven by an increase in operating expenses (+56.67) y/y.
- Increase in Net Interest Income by 17.03% y/y to KES 6.09Bn driven by an increase in interest income from interest in loans and government securities (+18.27%) y/y but weighed down by a larger growth in interest expense (+20.17%) y/y.
- Growth in Non-Interest Income by 58.76% y/y to KES 3.49Bn driven by an increase in forex trading income (+135.37%) y/y driven by the dollar shortage in the market.
- Sharp increase in impairment provisioning (+241.53%) y/y indicating significantly higher lending risk.
- Gross NPLs increased by 24.01% y/y to KES 29.31Bn with the NPL ratio increasing to 10.64%

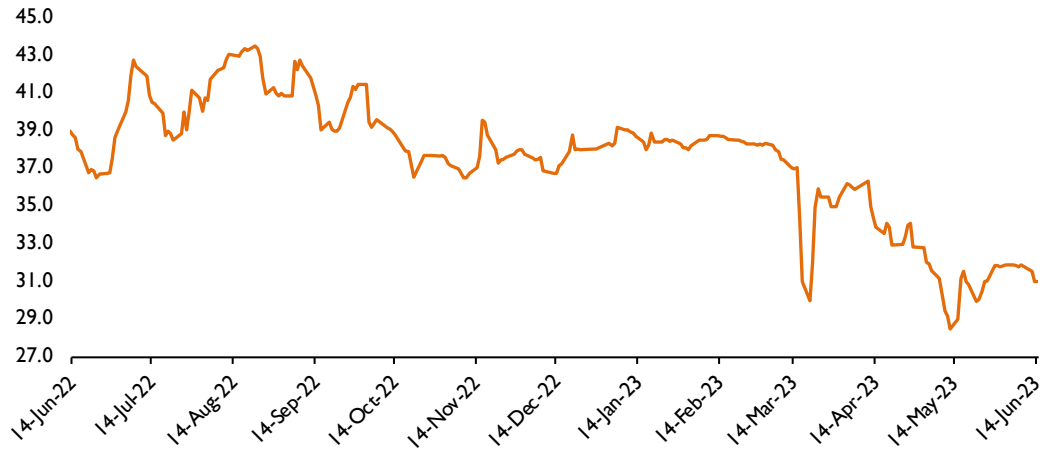
Outlook

- The share price has retreated following the book closure. However, we maintain a BUY recommendation on the back of strong fundamentals in the Kenyan, regional and non-banking subsidiaries. We expect growth in customer base as well as improved digital footprint will drive revenue growth. The injection of additional capital into Uganda will boost capital buffers supporting the growth trajectory path.

- We expect that the lender's banking subsidiaries performance as well a non-banking subsidiaries in bank assurance and wealth management will continue to positively impact the growth of the lender. We expect that implementation of risk-based pricing model to increase interest income as well as loan book growth.

KCB Group: Regional Expansion to Drive Growth

Graph 20: KCB 1-year Share Price Movement



Source: NSE, AIB-AXYS Analyst Estimates

YTD Performance – (18.64%)
LTM Performance – (15.84%)
Dividend Yield – 3.23%
EPS – KES 12.14

Q1'23 Performance Analysis

- PAT declined 1.05% y/y to KES 9.75Bn driven by an increase in operating expenses (+53.32%) y/y following the consolidation of the DRC subsidiary.
- Increase in Net Interest Income by 11.75% y/y to KES 22.06Bn driven by the increase in interest income from loans and government securities following the implementation of risk-based lending(+26.23%) y/y but weighed down by a sharp increase in interest expense (+67.72%) y/y.
- Growth in Non-Interest Income by 59.18% y/y to KES 14.79Bn mainly driven by an increase in forex trading income (+52.11%) y/y following the effect of the dollar shortage in the market.
- Impairment provisioning increased by 98.43% y/y to KES 4.12Bn driven by higher non-performing loans and higher lending risk.
- Gross NPL's increased by 34.76% y/y to KES 176.57Bn with the NPL ratio increasing to 17.14%.

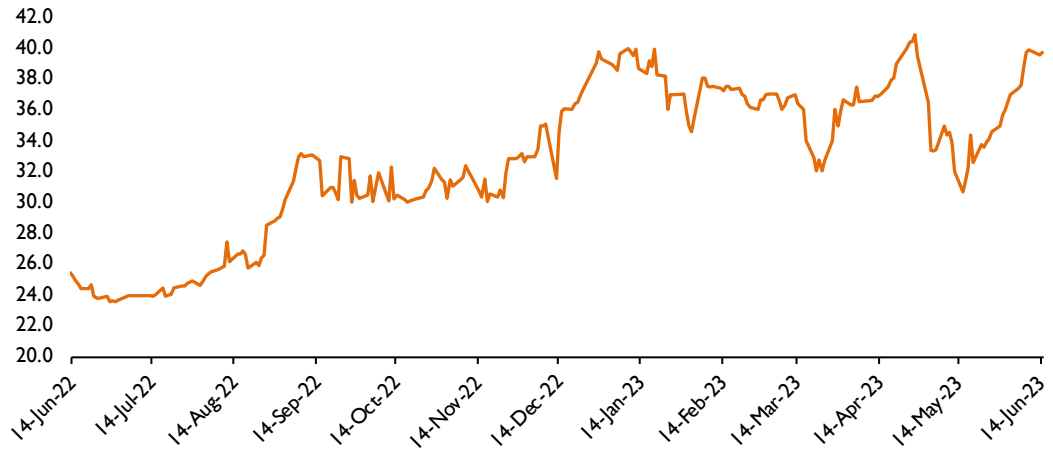
Outlook

- We expect improved subsidiary performance especially from the DRC subsidiary to drive revenue growth of the lender. TMB's strategic position in the mineral rich region will open up access to foreign currency trading as well as trade finance lending opportunities. We expect that lenders expansion into trade finance as well as improved digital channels will lead to growth of the loan book and customer deposits.

- We foresee continued growth of the loan book and interest income following the implementation of risk-based loan models. We believe that KCB is still looking at further acquisitions more so in Tanzania, Rwanda or Uganda following the continued consolidation of recent acquisitions. However, we remain concerned about the lender's thin capital buffers and the fast-rising non-performing loans (NPLs).

NCBA Group: Bigger Branch Network Against Industry

Graph 21: NCBA 1-year Share Price Movement



Source: NSE, AIB-AXYS Analyst Estimates

YTD Performance – 1.02%
LTM Performance – 26.23%
Dividend Yield – 5.66%
EPS – KES 3.08

Q1'23 Performance Analysis

- Increase in Net Interest Income by 17.98% y/y to KES 8.37Bn driven by an increase in interest income from loans and government securities (+20.98%) y/y but weighed down by an increase in interest expense (+25.17) y/y.
- Increase in Non-Interest Income by 18.53% y/y to KES 7.18Bn mainly driven by the positive impact of dollar shortage in the market on forex trading income which increased by 63.77% y/y.
- PAT increased 48.51% y/y to KES 5.07Bn driven by an increase in operating income (+18.23%) y/y.
- Impairment provisioning declined 22.62% y/y to KES 1.95Bn indicating reduced lending risk, which was contrary to industry peers.
- Gross NPLs decreased 11.95% y/y to KES 39.75Bn, which was contrary to industry peers, while the NPL ratio decreased to12.96%.

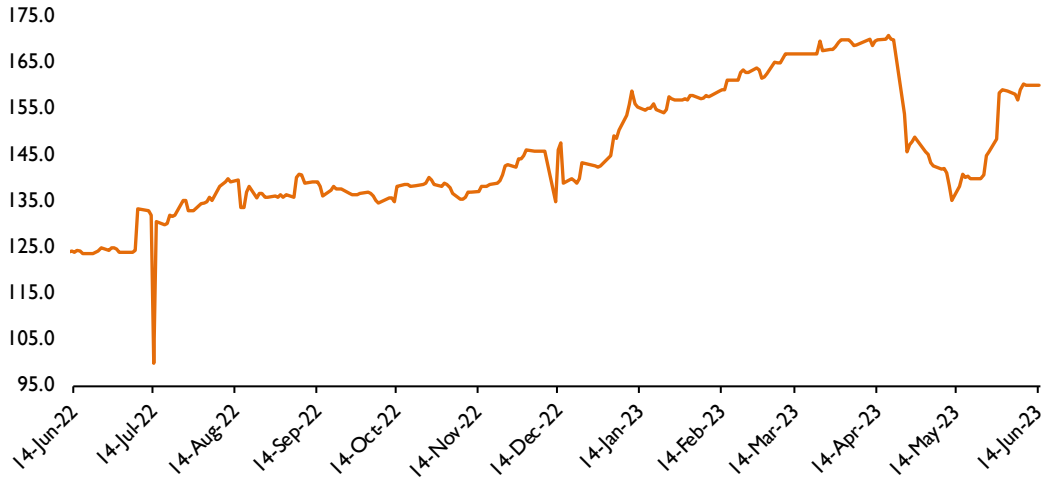
Outlook

- We expect that the lenders strong position in digital lending front on platforms such as M-Shwari and Fuliza will continue driving loan book growth. We expect that implementation of risk-based pricing model to increase interest income as well as loan book growth. Expansion, through partnerships, into other African markets should drive up loan book related income and create a pathway should the group seek further regional expansion.

- We expect that continued network expansion through opening of new physical branches will lead to increased customer deposits and revenue growth. However, new branch network could lead to an increase operating expenses in the short-term.

Standard Chartered: Wealth Management and Financial Markets to Drive Growth

Graph 22: SCBK 1-year Share Price Movement



Source: NSE, AIB-AXYS Analyst Estimates

YTD Performance – 12.26%
LTM Performance – 7.02%
Dividend Yield – 9.98%
EPS – KES 10.55

Q1'23 Performance Analysis

- Increase in Net Interest Income by 40.05% y/y to KES 6.89Bn driven by an increase in interest income from loans and government securities (+34.10%). Interest expense decreased by 5.41% y/y.
- Growth in Non-Interest Income by 55.54% y/y to KES 3.87Bn mainly driven by an increase in forex trading income (+113.92%) resulting from the dollar shortage in the market.
- Sharp increasing in impairment provisioning by 1019.62% y/y to KES 0.79Bn indicating a higher lending risk and increased non-performing loans.
- PAT increased by 45.65% y/y to KES 4.03Bn driven by an increase in operating income (+45.25%) y/y but weighed down by a larger increase in operating expenses (+47.16%) y/y.
- Gross NPLs marginally increased by 0.13% y/y to KES 22.60Bn while the NPL ratio increased to 14.88%.

Outlook

- We expect that the lenders growth will be driven by its financial markets and wealth management units and better performance from transaction banking. In the recent years, we have observed an emergence of local investors who are seeking specialized access to international markets. SCBK has taken advantage of these opportunities to grow the asst under management to KES 148Bn by end of FY'22.

- We expect that the rollout of mobile lending platform will grow the lenders digital channels. However, we remain concerned about slow balance sheet growth compared to peers with the bank not sticking to traditional banking but instead seeking yields from government securities..

CONTACTS:

Research

Solomon Kariuki
Research Analyst

Stacy Makau
Research Analyst

Email: research@aib-axysafrica.com

Equities Dealing

Nina Goswami

Bernard Kung'u

Benard Gichuru

Brian Tanui

Samuel Githinji

Sheema Shah

Samuel Wachira

Benson Ngugi

Bond Dealing

Crispus Otieno

Titus Marenye

Aundrina Musyoka

Kenneth Minjire

Email: trading@aib-axysafrica.com

Disclaimer

AIB-AXYS Africa and its parent company AXYS Group seek to do business with companies covered in their research reports. Consequently, a conflict of interest may arise that could affect the objectivity of this report. This document should only be considered a single factor used by investors in making their investment decisions. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. The opinions and information portrayed in this report may change without prior notice to investors.

This publication may not be distributed to the public media or quoted or used by the public media without prior and express written consent of AIB-AXYS Africa or AXYS Group.

This document does not constitute an offer, or the solicitation of an offer, for the sale or purchase of any security. Whilst every care has been taken in preparing this document, no representation, warranty or undertaking (express or implied) is given and no responsibility or liability is accepted by AIB-AXYS Africa or any of its employees as to the accuracy of the information contained and opinions expressed in this report.